

Harbourline Energy Co.

Leave Policy

Annual leave, carry-over, scheduling and payout

Field	Value
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Policy owner	Elena Marchetti, Director, Total Rewards
Approved by	Margaret Osei, Vice President, People and Culture
Applies to	All regular full-time and part-time employees in Canada and the United States
Next scheduled review	2027-03-31

1. Purpose

This policy sets out how Harbourline Energy Co. (Harbourline) employees earn, schedule and use paid annual leave, how unused leave is carried over between years, and how leave is paid out when employment ends. Harbourline provides annual leave so that employees can rest and return to safety-sensitive utility work refreshed.

2. Scope

This policy applies to all regular full-time and regular part-time employees of Harbourline in Ontario, New York and Ohio. Temporary and seasonal employees receive vacation pay as required by the applicable employment standards legislation and are otherwise excluded.

Employees covered by a collective agreement receive the greater of the entitlement in this policy and the entitlement in their collective agreement. Where the collective agreement sets scheduling rules (for example, seniority-based vacation selection for line crews), those rules prevail.

3. Definitions

Term	Meaning
Annual leave	Paid time away from work for rest and personal use, also called vacation.
Leave year	The calendar year, January 1 to December 31.
Continuous service	Service from the most recent date of hire, including approved leaves of absence.
Carry-over	Unused annual leave moved from one leave year into the next leave year.
Day	One regularly scheduled working day. For part-time staff, leave is prorated by scheduled hours.

4. Policy Statements

4.1 Annual leave entitlement

Regular full-time employees earn annual leave (vacation) according to completed years of continuous service: 15 days per year during years 1 to 4, 20 days per year during years 5 to 9, and 25 days per year from year 10 onward.

Completed years of continuous service	Annual leave per leave year	Monthly accrual
Years 1 to 4 (0 to 48 months)	15 days	1.25 days
Years 5 to 9	20 days	1.67 days
Year 10 and later	25 days	2.08 days

Leave accrues monthly from the date of hire. The entitlement tier changes on the first day of the month following the employee's service anniversary.

4.2 Carry-over of unused leave

Employees may carry over up to 5 days of unused annual leave into the next leave year. Carried-over days must be used by March 31 of the following leave year. Any carried-over days not used by March 31 are forfeited unless forfeiture would breach employment standards legislation, in which case the minimum statutory amount is paid out.

Days above the 5-day carry-over limit at December 31 are forfeited. Managers are expected to review leave balances with their teams each September so that leave can be scheduled before year end.

4.3 Statutory minimums

Nothing in this policy reduces an employee's entitlement under the Employment Standards Act, 2000 (Ontario) or any other applicable law. In New York and Ohio there is no statutory vacation entitlement, so this policy is the governing entitlement for US employees.

4.4 Payout on termination

On termination of employment for any reason, accrued and unused annual leave for the current leave year, plus any unexpired carried-over days, is paid out at the employee's base rate of pay on the final pay date.

5. Procedures

5.1 Requesting leave

- Submit the request in the HR self-service portal (hrportal.harbourline.example).
- Requests of more than 3 consecutive days must be submitted at least 10 business days in advance.
- The manager approves or declines within 5 business days. A declined request must include a reason and an alternative period.
- During a declared Storm Level 3 or higher emergency, operations managers may defer approved leave for field and control-room staff. Deferred days are restored and are not counted against the carry-over limit.

5.2 Year-end processing

Payroll applies the carry-over limit automatically on the first pay run in January. Employees can see carried-over days as a separate balance labelled Carry-over in the HR self-service portal.

6. Roles and Responsibilities

Role	Responsibility
Employee	Plans and requests leave in advance; monitors own balance.
People leader	Approves leave fairly, balances operational coverage, reviews balances each September.
Total Rewards	Owens this policy, interprets entitlement questions, maintains accrual tables.

Role	Responsibility
Payroll	Applies accruals, carry-over limits and termination payouts.

7. Related Documents

- Parental Leave Policy (HR-POL-015)
- Bereavement Leave Policy (HR-POL-017)
- Overtime and On-Call Policy (HR-POL-038)
- FMLA Guidance, United States (HR-POL-045)
- Vacation Policy quick guide (Harbourline Hub, Getting-Started)

8. Revision History

Version	Date	Author	Summary of changes
1.0	2019-03-01	HR Policy Office	Initial policy.
2.0	2021-06-15	HR Policy Office	Added US employees in New York and Ohio; added payout rules.
3.0	2024-01-01	Elena Marchetti	Revised entitlement tiers to 15, 18 and 22 days; carry-over limit set to 10 days, to be used by March 31.
4.0	2025-04-01	Elena Marchetti	Revised entitlement tiers to 15, 20 and 25 days (years 1 to 4, 5 to 9, 10 and later); carry-over limit reduced to 5 days, to be used by March 31. Replaces version 3.0.